

THE PULSE

The Scoop #17: Dotcom Bust Vibes

Klarna's historic down-round, Peloton's historic repricing of options, and engineers looking for a protective shelter from the coming rough times on the market.



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I've been talking with people who went through the Dotcom Bust in 2001 to understand what it was like. The past week, several things happened that are oddly familiar stories to things that happened during that time as well. These are not nearly at the scale, or the frequency of 2001. Still, the below, unrelated topics, when lined up, paint a similar pattern to events also common during that time. In this issue we cover:

1. **What Facebook "turning up the heat" in performance management means.** Zuck dropped a bomb on last week's company-wide Q&A. The media has been speculating about what it all means. I've talked with close to a dozen current Facebook engineers and engineering managers to get the scoop. Exclusive details.
2. **What is "default alive" and why is it important for startups?** Investors are pushing startups to be 'default alive,' and layoffs are more likely at startups not at this stage. But what is 'default alive?'

3. **Klarna's historic down-round and what its software engineers think of it.** The company's valuation is getting slashed from \$45.6B to \$6.5B. Lots of employees are losing money thanks to the strange RSU (restricted stock units) policy, as a result. I talked with employees to get the scoop on morale and their outlook on the company.
4. **Peloton's repricing of options.** The company did something we've not seen much since the Dotcom bust of 2001: repriced options to retain more employees. Will this become more common?
5. **Dotcom bust vibes at BlockFi.** Having raised \$1.2B in funding and valued at \$3B, BlockFi has been sold in a fire sale for a fraction of its funding amount.
6. **Sheltering during this upcoming, rough period.** I talked with an engineer who used to work at Big Tech, then took a risk on a hyped startup and got burnt. Now they are looking for somewhere to sit out the coming storm. Is this a growing trend?
7. **Recruiter layoffs: canaries in the coalmine?** Recruiters being laid off has picked up, especially in Europe. Could we be seeing an early signal of more layoffs and hiring freezes at more companies, ahead?

1. What Facebook “turning up the heat” in performance management means

On Thursday, 30th June, Meta held its usual weekly Q&A session. Employees ask questions over Facebook Workplace, upvote them, and then CEO Mark Zuckerberg answers a selection.

On this Q&A, Zuck shared that the company will cut its engineering hiring plans by 30% and, [according to Reuters](#), he also shared:

"If I had to bet, I'd say that this might be one of the worst downturns that we've seen in recent history."

Later, Zuck answered another question and said something that would be heavily quoted across the media (emphasis mine):

"Realistically, there are probably a bunch of people at the company who shouldn't be here. Part of my hope by raising expectations and having more aggressive goals, and just kind of turning up the heat a little bit, is that **I think some of you might decide that this place isn't for you, and that self-selection is okay with me.**"

Over the following days, much of the media covering Facebook reported this sentence, focusing on the term "turning up the heat". The Washington Examiner running an article titled [Meta 'turning up the heat' to weed out employees who fall short of goals](#), or the Daily Mail [running](#) with the incredibly long headline; 'Mark Zuckerberg gets tough on Meta workers for the first time and vows to 'weed out a bunch of people who shouldn't be here' as company slashes hiring and braces for economic turndown'.

I talked with software engineers and engineering managers at the company to figure out what is really happening, from those on the ground. I talked to nearly a dozen people working at the company, and their take is quite different from what you'd read in the mainstream media's reports. Here's what they told me:

"The media has over-blown this one sentence fragment." Everyone I talked with told me that they feel the media is doing what is common: take a sentence out of context, and zoom in on it. In this case, that sentence was "turning up the heat".

People told me there's a lot of context, Zuck was talking questions live and was speaking in the moment, there's history being referred to on the Adjusted Expectations program. Let me unpack some of this nuance I gathered below. *As a reminder, in this publication I focus mostly on software engineers and engineering managers and zoom in on details important to this group - this is the case with the below details as well.*

"The heat has always been on." This is what a current senior engineer shared. Performance management has never been a walk in the park. I go into plenty of detail about Meta's performance review process in [Inside Facebook's Engineering Culture: Part 2](#), where I also write about the "Meets Most" risk:

"The risk of meeting "only" most expectations is real. Facebook is a culture of high performance and while at many places meeting "most" expectations is acceptable, at Facebook getting MM is a warning. Every year, roughly 10-15% of the workforce

at the E3-E5 levels get MM, according to managers at Facebook I've talked with. (...)

Getting two MM ratings in a row results in the employee being put into a PIP, a Performance Improvement Plan."

Let's see what the next PSC brings." PSC stands for Performance Summary Cycle. Several other engineers have shared the pragmatic view that there's little to worry about until the next PSC. Meta used to run PSCs every 6 months, so one would not be due on that cadence. However, as covered in [Inside Facebook's Engineering Culture](#), this cycle has been pushed out to once a year, starting from this year for the reasons I cover [in Part 1 of the Facebook deep dive](#).

Given the next PSC is due only next January, plenty of things can change before then: the economy, the stock market, Meta's revenue, and so on.

"Internally, there are two groups on the 'extreme' sides." Zuck's comments *do* have several people in engineering talking about them. Of those who are louder about their views, I've found two camps:

1. "Good! This is the Zuck I like to see! My colleagues have been slacking off: it's about time to get to work!"
2. "Are you kidding me? I am working like crazy, the stock and my compensation is down, and NOW you tell me to work even harder? I'm upset!"

I'm told most people feel #1 is more prominent among people who take a side. Everyone I talked to with strong views thought it's actually good Zuck made it clear how he expects hard work.

However, the majority of Meta engineers are not making a big deal out of this.

"I like that Zuck is straightforward." I heard this several times. Many engineers appreciate that Zuck did not resort to corporate-style fluffy talk, but spoke his mind and didn't dilute what he had to say.

Most people are still in "wait and see" mode. When talking with managers, they told me they got a pulse check on their teams and the majority of folks aren't jumping to

conclusions. Managers also don't have any additional details, and there is nothing specific coming from what Zuck said. Plus, PSC is quite a while away.

On the worry that PSC will get tougher. A few engineers told me they are worried that what might follow Zuck's comments, is the PSC process becoming stricter. For example, a higher percentage of people could get [an MM](#), or there could be some forced stack ranking.

I ran these fears by managers with long tenure at Facebook, who all dismissed them. They told me that while the PSC process can be changed; if this was to happen, they'd expect transparency for the engineering population. As a long-time engineering manager put it:

"I'd definitely consider it a fail if there was some actual change that only became obvious at the time of PSC - I think people would legitimately ask why wasn't it announced earlier.

If there is going to be any actual material change - it should be announced shortly, the very least to managers."

Zuck has had enough of "why can't we work less and be paid more" types of questions. One important piece of context missing from all the media coverage I read – but which was echoed by several people I talked with – is how Zuck's comment that "there are probably a bunch of people at the company who shouldn't be here" was not made in a vacuum.

For one, Zuck has admirably restrained from answering questions like "why can't we work 4 days a week going forward," for the past couple of years.

Also, Meta put in place an Adjusted Expectations starting in 2020, which allowed people to keep their jobs while performing below what was expected of them. I go into more detail on this program in [Inside Facebook's Engineering Culture](#) in the 'COVID and the Adjusted Expectations program' section. The program was discontinued late 2021 – meaning people could not opt in to use it for 2022. However, this mean that on the last

performance cycle in the beginning of 2022, there were people who got an MA thanks to Adjusted Expectations.

During the Q&A, Zuck mentioned many people who would normally be looking for a job elsewhere, are not doing so because the current job climate makes it risky to change employers.

A few people shared they thought Zuck meant that without the Adjusted Expectations program, many people would no longer be at Meta, and he meant "there are probably a bunch of people at the company who wouldn't be here [without the Adjusted Expectations program.]"

My take is that Zuck said out loud what many CEOs keep to themselves. We have rapidly gone from the [most-heated job market](#) less than a year ago, to the [tech boom being over](#). Many people are still in denial about how radically the tech job market has changed. As I write in [The Scoop #16](#):

"In tech, we've seen a decade of nothing but growth on the stock markets, and of many private companies following this growth trajectory. I regularly talk with software engineers who feel confused and angry about this situation.

Many people have never seen a downturn in tech like it. This is particularly true for people who have joined the industry since 2009, when the last major crash ended."

We're seeing [layoffs upon layoffs](#) at venture-funded companies, which were some of the hottest places to apply to in 2021. Revenue growth will be much slower at most companies in 2022 than it was last year or in 2020.

I talked with another founder at a Series B startup who sent a similar message to his company. They told people that going forward, there will be more work to do, with fewer colleagues. They offered two months' salary to those who leave in the next week, and a higher workload for those who stay.

In this case, this CEO needs to cut operating expenses by 15-20%. They are hoping to do this through attrition, but if not enough people leave, there will be layoffs. There are no backfills, and the workload will stay as is. This is dictated by slowing business

prospects and their balance sheet; it's still strong, but the CEO wants to further extend the runway.

In this gloomy environment, it should not be taken for granted that companies do not do layoffs. Although layoffs have a terrible impact on company culture – as I cover in [Preparing for Layoffs in Tech](#) – the reality is they do significantly reduce costs. Also, the stigma is gone from layoffs, as there are so many companies doing them. Another layoff only hits headlines if it's at a well-known company.

Meta – formerly Facebook – has never done layoffs in the 18-year history of the company and I expect this will remain the case. However, in the current economic climate, Zuck is right to get frustrated when people use the Q&A to ask questions along the lines of “we want more money”.

In section “6. Sheltering during this upcoming, rough period” I'll reflect more on why I think it's relatable that Zuck is frustrated, and how Meta is a “safe shelter” option for engineers who have been burnt at hyped startups that are running out of money.

2. What is “default alive” and why is it important for startups?

In [The Scoop #16](#), I cover Stream laying off 10-15% of its staff, and quote the email sent by CEO Thierry Schellenbach, in which he mentioned the term ‘default alive’. He wrote:

“We have to be creative, grow with a smaller budget, and reduce how much we rely on external VC capital. The goal is to reach profitability before we burn through the money raised in the B round. With these changes, we'll be ‘default alive.’”

Last week, I met the cofounder of a Series A startup, who told me their investment firm is telling startups they should be ‘default alive’. This company decided to convert freemium users to paid users as a result, and is now operating as ‘default alive’ following this change.

But what is ‘default alive’?

The term was coined by Y Combinator founder Paul Graham, who defined it like this in the essay [Default alive or default dead?](#):

"When I talk to a startup that's been operating for more than 8 or 9 months, the first thing I want to know is almost always the same. Assuming their expenses remain constant and their revenue growth is what it has been over the last several months, do they make it to profitability on the money they have left? Or to put it more dramatically, by default do they live or die? (...)

The reason I want to know first whether a startup is default alive or default dead, is that the rest of the conversation depends on the answer. If the company is default alive, we can talk about ambitious new things they could do. If it's default dead, we probably need to talk about how to save it. We know the current trajectory ends badly. How can they get off that trajectory?

Why do so few founders know whether they're default alive or default dead? Mainly, I think, because they're not used to asking that."

'Default alive' does not mean a company is profitable. However, it does mean it can get to profitability without ever having to raise more venture capital funding.

The venture funding market has changed dramatically in the past few months: funding is drying up. It's ironic the funding is especially drying up for companies that need it most: ones that are 'default dead' and have no path to profitability without further investment.

Companies which are not 'default alive' are the ones that will most certainly lay more people off, until they are no longer 'default dead'. In [The Scoop #14](#), I summarize the patterns I've observed across tech layoffs, as features of not being 'default alive':

- Companies that over-hired and are making a loss.
- Companies which need to extend their runway.
- Loss-making, publicly traded companies which are adjusting to get to profitability.

As an employee, if working at a 'default alive' startup or scaleup, the risk of any layoffs is magnitudes lower than at places that are 'default dead'. Investors are now asking this question of their startups, and founders are making plans on how to get there. A 3-year runway is not bad, but it's not 'default alive', and still depends on that startup raising another round of funding within 3 years.

'Default alive' is a term that wasn't used during the golden years when venture capital was easy to access. It's making a comeback and is something anyone joining a startup should ask the founders.

3. Klarna's historic down-round

Klarna, a buy-now-pay-later startup headquartered in Sweden, was valued at \$45.6B at their last fundraising in the middle of 2021.

In April this year, in [The Scoop #8: A tech market slowdown starting?](#) I point out the company has been looking overvalued, considering its publicly traded competitors like Affirm. I write:

"Klarna – a buy-now-pay-later FinTech – is another example where we can make comparisons with competitors. Affirm is one of their direct, publicly-traded competitors. In June 2021, Klarna was valued at \$45B in their latest fundraising. Since June 2021, Affirm stock is down 47%. If Klarna's valuation would have changed the same, the company would be valued at \$24B."

In May, [Bloomberg reported](#) that Klarna was seeking to raise a new round at a \$30B valuation, taking a cut, given the market conditions.

At the end of May, the company laid off 10% of its workforce, an event I [covered in-depth](#). In my analysis, I wrote I wasn't sure that the company had made deep enough cuts, given how the Buy-Now-Pay-Later sector is looking increasingly saturated, the company is making a loss, and it's dependent on external investment. As I write in Inside the layoffs at Klarna:

"Did the company really lay off enough people? This might be a strange question to ask, but I am personally skeptical if a 10% layoff while the company keeps on hiring,

is really going to achieve the savings required. It feels like this was a small correction and unless Klarna is cautious, it could mean more layoffs, if the company doesn't prepare for how the economy changes. **The BNPL (buy now pay later) business model is under multiple threats from competition**, difficulty in growing and regulatory oversight. Will this cost saving really be enough for Klarna during the next 12-24 months?"

Just a few weeks later, another massive threat emerged. At Apple's annual WWDC event, the company announced it is launching a Buy Now, Pay Later service within Apple Pay. This is a problem, as Klarna and other providers will likely see less business when Apple offers BNPL not only to those on iPhone, but to any site offering Apple Pay – which is seeing dynamic growth.

On 17th June, just a week after Apple's BNPL announcement, The Wall Street Journal [reported](#) Klarna is now looking for funding at a heavily slashed, \$15B valuation.

Let's take a look at Affirm, a direct competitor to Klarna. Since April, Affirm's stock has slid even further: it's now down 71% on its June 2021 value. If Klarna's value was to similarly decline from its June 2021 valuation, it would end up at a \$13B valuation, so not far off from where Klarna was trying to raise money.

Klarna, in the end, had to take a massive, 86% valuation cut on just a year ago. On July 1st, the company finally managed to raise funds after two months of shopping around, as [reported by The Financial Times](#). The funding came at a \$6.5B valuation, which is 86% below its June 2021 valuation of \$46.5B.

What does this down-round mean for Klarna employees? In a Silicon Valley company where employees get equity-heavy packages, such a valuation drop would be terrible news and lead to high attrition, as people realize their compensation packages are suddenly worth far less than they'd assumed.

Ironically, this is not the case at Klarna. The company has been extremely stingy in issuing equity. Even when they do, for most software engineers the equity portion is not more than 5% of their base salary. For principal engineers or engineering managers, some received large packages, so this valuation cut will hurt them much more.

I asked software engineers working at Klarna how they felt about the news of the valuation cut, and how they rated the company's outlook. Everyone I talked to was pessimistic about both to varying degrees.

An old-timer at Klarna had a less gloomy outlook on the valuation drop, but a much gloomier take on the future of the company:

"Even with a \$6.5B valuation, the company has grown more than 5x from 5 years ago. However, what I find worrying is it seems that Klarna is done growing outside the EU. There's a large focus on 'winning the US' and in-app shopping, and neither of those verticals look very promising. I just don't see what differentiates Klarna from competitors in either of those verticals. Our engineering foundation is not strong enough to grow and adapt quickly there."

Another person shared that morale is low at the company, and people are only speaking about the valuation drop in private groups, among themselves. This engineer said they feel that management hasn't gotten the memo that their growth plans are history.

Apple's BNPL announcement also caused panic. As an engineer put it:

"Before the layoffs, we would have been like, whatever, we're Klarna - we're unbeatable! Now we are all like: so wait - Apple can just lose huge amounts on BNPL for the next several years in the US and somehow we are supposed to beat them?"

For many engineers, the RSU valuation drop was not the main concern, as they had tiny amounts of RSUs to start with. Some brought up that because Klarna had paid bonuses as RSUs for the past two years - [as I covered in this article](#) -, this meant the RSU portion of their bonus is now worth about a tenth of what it was its original value.

People have lost varying amounts of money due to Klarna's surprisingly weird RSU policy. Most late-stage companies issue double-trigger RSUs. As I describe in the article [Equity 101 for Software Engineers](#):

"Double-trigger RSUs is a concept more common for unicorn companies that plan to go public in the coming years. These companies allocate stock to employees that vests similar to how RSUs do with public companies.

The problem with awarding RSUs for private companies is taxes. You'd need to pay tax on capital gains for stock that you've vested: however, there is no market to liquidate this stock. You'd have to pay out of pocket for the tax, with no way to sell part of your equity to cover those taxes.

Double trigger RSUs is a setup Facebook utilized before its IPO, and several other companies have followed since. The idea is that the stock does not vest until a second trigger - an IPO or another financial event happens. This way, taxes are due on the IPO or company sale, but not before."

Klarna did not switch to issuing double-trigger RSUs. This meant that employees who received these RSUs had to pay taxes on them as income, when they vested. In many cases, the taxes those employees paid on top of the RSUs cost more than the new, reduced value of the RSUs. Had the company offered double-trigger RSUs, these people would have not lost money on this stock. Given the RSU construct, it's less surprising Klarna did not issue much stock to employees.

I try to reserve judgement, but Klarna not issuing double-trigger RSUs smells of incompetence. Double-trigger RSUs are the norm at late-stage companies for the very simple reason they cost nothing for the company to implement - save for hiring a lawyer to draft this construct - and in doing so, they get to defer both full vesting and taxation for employees until a liquidity event happens.

Given Klarna was founded in Sweden, there could be regulations that make it harder to create a double-trigger construct. However, as with most things related to stocks, these are constructs that can be worked around if there is a will to do so. Klarna doesn't seem to have had that will, and instead opted for employees bearing taxes on stock that is not liquid and can go down in value - which it just has done.

One group within Klarna is especially unhappy; people who joined in the past year. In an effort to be more competitive, Klarna has recently started to offer initial RSU grants to new joiners. I talked with people who have negotiated significant equity packages, and those packages are down 85% with taxes due on top, to be paid out of pocket. Most of these people are unhappy, but are holding out hope that Klarna will top up their RSU grants after the valuation cut becomes official.

Would Klarna “top up” RSU packages? I highly doubt the company would apply broad-stroke fixes to everyone. After all, the company is doing quite poorly compared to a year ago. What Klarna will most likely do is issue retention grants to key people, either as RSUs, cash, or a mix. Given the company will be short on cash, I assume they will resort to issuing RSUs to key people. I write more about retention tactics in [Retaining software engineers and engineering managers](#).

4. Peloton's options repricing

What happens if your employees see their total compensation cut in half, due to the stock price tanking? This is not a theoretical question, it's the reality at fitness bikes maker, Peloton.

In February, the company laid off 20% of its workforce, as covered in [The Scoop #3](#). However, its stock kept falling and is currently trading at less than 10% of where it was a year ago. A Peloton share is worth about \$10 at the time of writing, versus the \$125 it was priced at in July 2021.



Peloton's stock price history for the past twelve months. From a high of \$126.43 to a low of \$9.13: losing 93% of its value.

Peloton had been issuing stock options even after its IPO, with the strike price being the price of the stock at the time. The company did this because it's a much cheaper way to issue equity; it costs the company nothing to issue, and so doesn't hurt its balance sheet.

It is typical for companies to issue equity as options when it's expected the company will keep growing aggressively. This is why early-stage startups issue options at the Seed and Series A round, and sometimes even later. The closer a company gets to an IPO, the more likely it is they issue RSUs or double-trigger RSUs. It is common for executives to receive options in their packages, as such options align with incentives; executives get lots of money only if their contributions result in the share price increasing.

However, Peloton's stock has been in freefall. Those who received options on March 1st at a \$27 strike price, saw the stock sink as low as \$9. Until the stock reaches \$27, those options are worthless and to rise to \$27, the stock price now needs to triple.

What do you do if you're an employee with a large chunk of options that are hopelessly underwater? You will, most likely, find a new job, and one where you have a realistic upside with stock, or just join a publicly traded company that issues liquid RSUs.

So, on top of the tumbling stock price and having laid off 20% of employees, Peloton is now facing the risk of much of its highly paid workforce – executives, senior-and-above engineers and others – looking for new jobs. What can the company do? Well, there's one thing they can do, and they did it:

Peloton has repriced options and is issuing a one-time cash bonus to employees, CNBC [reported](#) Wednesday, June 6th. Options are repriced to the strike price at the closing price of the shares on June 1st, which is \$9.13.

Options repricing is a rare move, as it contradicts the original intent of rewarding people who create business value from when they join. However, repricing options to the current share price is still much cheaper for the company than issuing RSUs, or even cash bonuses. And, in the case of Peloton, this is a sensible move, if it is serious about turning things around. It needs current employees to be onboard and to stick around, instead of jumping ship.

Peloton will also issue a one-time cash bonus in September, which will be paid out in February. This is basically a retention bonus to be paid out six months later, another tactic I mention in [Retaining software engineers and engineering managers](#).

Can we expect other troubled companies to throw stocks and cash at employees to stay, like Peloton has? For key employees this has always happened, and it won't stop now. When a company goes through layoffs, competent leadership always identifies people key to the growth of the company, and ensures they have the right retention incentives, usually as a mix of stock and cash.

Company-wide retention exercises like Peloton has done will be more rare at troubled companies, is my read. However, at firms which see a path to 'default alive,' I'd expect leadership to start to think longer-term, and come up with financial constructs that are cheap enough for the company to implement, but which send the signal they care about rewarding employees.

A good example of a cheap but efficient retention tool comes from Uber in 2020. Following the layoffs in the spring and summer of 2020, morale at Uber was low and attrition was going up. The company did not have additional money to spend on bonuses, but came up with a smart plan to increase retention: instead of paying bonuses in February, they started to pay a part of the target bonus on a monthly basis, spreading it out between October and February.

From an accounting point of view this made no difference to the books; the company spent the same on bonuses as before. However, people got cash earlier and it sent the message that the company cared about its employees and was paying bonuses "in advance." Smart!

5. Dotcom bust vibes with BlockFi

During the Dotcom Bust in 2001, companies that had raised billions in funding went bankrupt and were acquired for pennies on the dollar of their former valuation. Something similar is happening in Crypto with a few companies.

BlockFi is a crypto trading platform which raised a total of \$1.2B in funding. In the middle of 2021, the company was valued at \$3B. Just a few weeks ago in June, the company laid off 20% of its workforce, as covered in [The Scoop #14](#) and sought to raise funding at a much lower valuation of around \$1B.

However, that funding never materialized, and the company was bought by FTX, another crypto trading company, which scooped up BlockFi for a fraction of its former value. CNBC reported the figure will be \$25-50M. As they [wrote](#), before the deal was signed:

"The term sheet is almost over the finish line and expected to be signed by the end of the week, according to three sources, who asked not to be named because the deal discussions were confidential. FTX is expected to pay roughly \$25 million, one source said, 99% below BlockFi's last private valuation. Another person with direct knowledge of the deal pegged the price closer to \$50 million."

Following the deal being signed, the CEO of BlockFi shared that it is based on performance triggers, and could be worth up to \$240M. But if CNBC is correct, the lower range – if those triggers are not met – is likely to be \$25-50M.



Zac Prince
@BlockFiZac

Yesterday we signed definitive agreements, subject to shareholder approval, with FTX US for:

1. A \$400M revolving credit facility which is subordinate to all client funds, and
2. An option to acquire BlockFi at a variable price of up to \$240M based on performance triggers.

6:11 PM · Jul 1, 2022

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Even assuming a \$240M acquisition price, this is a massive loss for all investors who put in \$1.2B into the company, and will have to write down 80% of their investment. Assuming the price slips lower, closer to 90-95% of their investment may be wiped out.

While losing up to 100% of investments is expected for some startups at seed-stage startups, the later the stage of the funding round, the less risk there typically is of funding being unrecoverable.

While I don't see evidence of a Dotcom bust hitting the tech industry, it's safe to say we can call this market "The Crypto Bust," as I [referred to it two weeks ago](#). I'm expecting more layoffs and possibly a few bankruptcies in this sector. I would not be surprised to see a lot more fire sales like BlockFi go through, where the buyer gets the whole company for pennies on the dollar.

This trend will only turn around if there was suddenly more money flowing into the Crypto markets. But in the middle of an economic downturn, there seems to be little chance this will happen.

6. Sheltering during this upcoming, rough period

I was talking with a principal software engineer who's worked at several Big Tech companies, and who six months ago joined a "hyped" startup for stellar compensation and even more responsibility. That "hyped" startup has since executed massive layoffs, and although this engineer was not let go, their package which was originally valued around \$1M over four years, is now worth practically nothing and they are actively looking for a job.

This person told me the job market is tougher than they expected; they have high salary expectations and thanks to their specialized skill set around tooling and internal platforms, they are seeking opportunities very few companies offer. Here's what this person shared of their thinking:

"I'm trying to get my old job back at this {Big Tech} company. There are lots of things I really disliked which prompted me to leave, but the idea of getting something that is stable and pays that well during these uncertain times, is quite appealing now.

I'm also considering joining a bank where one of my friends works. It looks boring, and not a culture I'd normally choose, but again, it's very stable and pays very well."

For this engineer, "stable, pays well, with things I don't like about the culture" is starting to sound more appealing than "Exciting, great culture, but the stock is crashing and

there are layoffs." And from what I gather from other engineers, this sentiment is spreading.

This is a reason I'm not too surprised by Zuck's comments at Facebook, and how he seemingly has had enough of questions about more compensation and lower workload.

The coming months – and possibly even longer – will not be a golden time for many software engineers. Between compensation, culture and job stability, if two are "great", you're already a winner. If all three are "decent" it's also a win. Right now, Meta seems to have decent culture, good compensation (still), and pretty good job stability. This is an increasingly rare combination and there are plenty of people who would gladly "shelter" during the coming period at a company like Meta.

If only they could get in; it's increasingly difficult to do so, with the hiring freezes and slowdowns.

7. Recruiter layoffs: canaries in the coalmine?

A final scoop, which I've verified but is a little vague. I've been talking with a long-time moderator / member of some of Europe's largest recruitment and People communities, who has asked not to be named.

Back in late April, this person shared how the demand for recruiters had dropped overnight. They observed:

"The past six months, the traffic for the channels where people post jobs has been through the roof for recruiters and HR. The channels with people 'looking for jobs' was almost empty.

Overnight, this shifted. The channels with people looking for jobs are booming, with the phrase 'hiring freeze' in every message, whereas the number of jobs is really dropping.

What's REALLY interesting is how the companies freezing are Series B and later ones, and also Big Tech. The post-PMF Seed and Series A companies and the

'traditional' companies are NOT freezing recruiter hiring."

Sure enough, a few weeks later the layoffs started at late-stage companies, though not at Big Tech, where there have only been isolated hiring freezes.

Now my recruiter contact has shared another interesting scoop from Recruiter Land:

"We're now seeing a surge of European Series A and B companies where either recruiters are laid off, or they are leaving in large numbers across communities. It's starting to look bad for companies that last raised in Q1/Q2 of 2021."

Recruiters are often the 'canaries in the coalmine,' they are the ones seeing the signs and are jumping ship."

Laying off recruiters early on could backfire later, my contact shared:

"This approach to laying off recruiters first also happened at the beginning of Covid-19, and left many companies which resized then struggling to hire them again later.

They might seem to be the folks you need to lose the fastest, but when you move from defense to attack mode, many companies will be caught short of resources."

Layoffs across the tech industry are not over; not by a long way, this is certain. For publicly traded companies, we should expect more to come as Q2 earnings are about to be released, and many will be bad. Some of those bad earnings will be followed by cost-cutting and layoffs.

For scaleups which have raised funding more than 18 months ago and are running out of runway, many are out there trying to raise more funding. Investors are likely to only give them money if they have a path to "default alive". This will almost always mean having to lay employees off, even if they raise the funding.

The best way to make sure you're at a company which does not get hit, is to work at one that is either profitable, or has a 5+ years runway, or has a path to being "default alive". Failing that, if you work in a profit center, your position is likely much safer than if

you are in a cost center. We'll go into what these two terms mean, and ways to identify each in Tuesday's article.

Takeaways

There are a lot of things increasingly giving me the feeling of *Deja vu* with the Dotcom bust in 2001. We have covered a few in this article:

- **A CEO of a stable tech company having had enough** of employees complaining during a downturn. Several Facebook engineers and managers I talked with feel Zuck was right to put an end to questions that came across as increasingly entitled in the middle of a market environment where Facebook is a pretty good place to be, still.
- **"Default alive" becoming a focus for investors.** Even VCs are prepping their companies that no new rounds may come for a year.
- **Several industries have Dotcom bust vibes.** The Buy-Now-Pay-Later industry is seeing 70-85% valuation drops in just a year. In the crypto industry, BlockFi has been acquired in a fire sale, for a fraction of money the company has raised. Will massive down-rounds and fire sales be limited to these two industries or will they spread to others?
- **Experienced engineers looking for "safe shelters" for the upcoming period.** A former Big Tech engineer who left to work at a hot startup and got burnt, wants to go back to their old company. Failing this, they're happy to get a job at a bank, trading culture for stability and compensation.

It was only September of last year when I wrote [we are in the most heated tech hiring market of all time](#). With everything happening, it feels like we have found ourselves in a market that's cooling at a comparable speed to the Dotcom bust in 2001. Let's hope that the parallels with the Dotcom bust are limited to a few companies in a few industries, and that we'll see things stabilize soon. After all, velocity can return with the same speed as it has disappeared, once the venture capital money taps start flowing again.

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Roman K Jul 10, 2022 ❤️ Liked by Gergely Orosz

> Also, Meta put in place an Adjusted Expectations starting in 2020, which allowed people to keep their jobs while performing below what was expected of them. I go into more detail on this program in Inside Facebook's Engineering Culture in the 'COVID and the Adjusted Expectations program' section. The program is still active as of now.

the program has been discontinued as of this year. it was announced late last year.

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1 reply by Gergely Orosz



Anatoly Rugalev Jul 8, 2022 ❤️ Liked by Gergely Orosz

Thank you, Gergely

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